

BEFORE THE FEDERAL MARITIME COMMISSION

FIAT CHRYSLER AUTOMOBILES NV,
FCA US LLC and FCA Italy S.p.A,

Complainants,

Docket No. 17-09

Wallenius Wilhelmsen Logistics AS, Walleniss
Wilhelmsen Logistics Americas LLC, EUKOR Car
Carriers Inc., Nippon Yusen Kabushiki Kaisha, NYK
Line (North America) Inc., Mitsui O.S.K. Lines, Ltd.,
MOL (America) Inc., Kawasaki Kisen Kaisha, Ltd.,
“K” Line America, Inc., Compañía Sud Americana de
Vapores, and Hoëgh Autoliners AS,

Respondents.

ANSWER AND AFFIRMATIVE OR ALTERNATIVE DEFENSES OF RESPONDENTS
KAWASAKI KISEN KAISHA, LTD. AND “K” LINE AMERICA, INC.
TO COMPLAINT FILED BY FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC,
AND FCA ITALY S.P.A.

INTRODUCTION

Respondents Kawasaki Kisen Kaisha, Ltd. and “K” Line America, Inc. (collectively, “K” Line”) hereby answer and respond to the complaint (“FCA Complaint”) filed by Complainants Fiat Chrysler Automobiles NV, FCA US LLC, and FCA Italy S.p.A (collectively, “FCA” or “Complainants”). “K” Line is responding to those allegations in the FCA Complaint that are directed toward “K” Line. Except as otherwise stated below, “K” Line lacks sufficient knowledge or information to form a belief concerning the truth of the allegations in the FCA Complaint that are directed toward other entities. To the extent not specifically admitted herein, “K” Line denies all of the allegations in the FCA Complaint. In addition, to the extent Complainants purport to quote from documents in the FCA Complaint, “K” Line refers to the documents themselves for their actual and complete contents. “K” Line has not attempted to verify the accuracy of Complainants’ quotations or even that the documents exist. To the extent the quotations are incomplete, inaccurate, or misleading, or the underlying documents do not exist, “K” Line denies the allegations. “K” Line will insist on strict proof of all allegations, assuming such allegations are deemed admissible, as to which “K” Line reserves its rights. “K” Line’s use of the FCA Complaint’s defined terms is intended solely for the Presiding Officer’s convenience; “K” Line denies that Complainants have defined these terms appropriately.

On May 7, 2018, the Presiding Officer issued an Initial Decision granting in part and denying in part the supplemental consolidated motion to dismiss the FCA Complaint. *See* Initial Decision at 40-50. Under the Initial Decision, all of FCA’s claims for reparations are dismissed except for those based on alleged “continuing violations.” Because the FCA Complaint “specifically alleges continuing violations,” *id.* at 49, the Initial Decision holds that “Fiat may be entitled to reparations if it can establish a violation that accrued within three years of filing their complaint.” *Id.* at 50. The FCA Complaint was filed on October 6, 2017; as a result, FCA may possibly obtain a cease and

desist order or reparations only for claims based on violations, if any, occurring after October 6, 2014. Therefore, “K” Line’s Answer, in its entirety, is subject to the unappealed rulings with respect to FCA’s claims in the Initial Decision and, accordingly, is limited solely to the narrow claims remaining in the FCA Complaint after the Initial Decision.

GENERAL DENIAL

“K” Line denies that it has engaged in illegal conduct relating to the period from October 2014 to the present and that any conduct relating to this period that it is alleged to have engaged in has harmed Complainants or competition. “K” Line denies all allegations contained in the FCA Complaint (including headings and captions) not specifically admitted in this Answer. “K” Line denies that Complainants are entitled to judgment in their favor or any relief whatsoever, including the relief requested in paragraphs (1) through (8) of Complainants’ prayer for relief.

SPECIFIC DENIALS

“K” Line specifically responds to the allegations in the FCA Complaint as follows:

1. The allegations in Paragraph 1 are characterizations of the action and call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 1 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 1 are deemed to require a further response and are directed to “K” Line, they are denied.

2. For any allegations in Paragraph 2 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. “K” Line admits that Kawasaki Kisen Kaisha, Ltd. was the subject of a United States Department of Justice (“DOJ”) investigation and entered a guilty plea with the DOJ in September 2014 that involved the payment of a fine by Kawasaki Kisen Kaisha, Ltd. in the United States. “K” Line refers to the referenced DOJ guilty plea for its

true and complete contents. Any remaining allegations in Paragraph 2 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 2 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 2 are deemed to require a further response and are directed to “K” Line, they are denied.

3. For any allegations in Paragraph 3 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 3 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 3 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 3 are deemed to require a further response and are directed to “K” Line, they are denied.

4. For allegations in Paragraph 4 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 4 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 4 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 4 are deemed to require a further response and are directed to “K” Line, they are denied.

5. “K” Line lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 5. To the extent that any remaining allegations in Paragraph 5 are deemed to require a further response and are directed to “K” Line, they are denied.

6. “K” Line lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 6. By way of further answer, the allegations of Paragraph 6 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 6 are deemed to require a further response and are directed to “K” Line, they are denied.

7. “K” Line lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 7. To the extent that any remaining allegations in Paragraph 7 are deemed to require a further response and are directed to “K” Line, they are denied.

8. “K” Line lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 8. To the extent that any remaining allegations in Paragraph 8 are deemed to require a further response and are directed to “K” Line, they are denied.

9. “K” Line lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 9. To the extent that any remaining allegations in Paragraph 9 are deemed to require a further response and are directed to “K” Line, they are denied.

10. “K” Line lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 10. To the extent that any remaining allegations in Paragraph 10 are deemed to require a further response and are directed to “K” Line, they are denied.

11. “K” Line admits that Kawasaki Kisen Kaisha, Ltd. is a Japanese company with its principal place of business at 1-1, Uchisaiwaicho 2 Chrome, Chiyoda ku, Tokyo, 100 8540, Japan. “K” Line admits that “K” Line America, Inc. is a wholly owned subsidiary of Kawasaki Kisen Kaisha, Ltd., incorporated in Michigan and headquartered at 4860 Cox Road, Suite 300, Glen Allen, Virginia, 23060, and that “K” Line America, Inc. acts as an agent for Kawasaki Kisen Kaisha, Ltd. in the United States. For any allegations in Paragraph 11 relating to alleged

conduct, acts, or effects before October 6, 2014, no response is required. “K” Line admits that “K” Line and/or certain entities affiliated with “K” Line sold roll on, roll off cargo services to FCA and/or certain entities affiliated with FCA for shipments to and from the United States and between international ports after October 6, 2014; strict proof of the extent and/or frequency of such purchases is demanded at trial, to the extent relevant. Any remaining allegations in Paragraph 11 are conclusions of law, to which no response is required.

12. “K” Line lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 12. To the extent that any remaining allegations in Paragraph 12 are deemed to require a further response and are directed to “K” Line, they are denied.

13. “K” Line lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 13. To the extent that any remaining allegations in Paragraph 13 are deemed to require a further response and are directed to “K” Line, they are denied.

14. For any allegations in Paragraph 14 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 14 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 14 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 14 are deemed to require a further response and are directed to “K” Line, they are denied.

15. For any allegations in Paragraph 15 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 15 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 15 are deemed to require a further response and are directed to other

entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 15 are deemed to require a further response and are directed to “K” Line, they are denied.

16. For any allegations in Paragraph 16 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 16 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 16 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 16 are deemed to require a further response and are directed to “K” Line, they are denied.

17. “K” Line admits that Kawasaki Kisen Kaisha, Ltd. transports “wheeled freight, also known as ‘roll on, roll off cargo,’ on ocean shipping vessels specifically designed to transport such freight on deep sea routes” and that “[n]ewly assembled cars, trucks, and motor vehicles (‘vehicles’) are transported as roll on, roll off cargo,” and that “K” Line America, Inc. acts as an agent for Kawasaki Kisen Kaisha, Ltd. in the United States. Any remaining allegations in Paragraph 17 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 17 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 17 are deemed to require a further response and are directed to “K” Line, they are denied.

18. “K” Line lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 18.

19. For any allegations in Paragraph 19 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. “K” Line admits that Kawasaki Kisen Kaisha, Ltd. was the subject of a DOJ investigation and entered a guilty plea with the DOJ in September 2014 that involved the payment of a fine by Kawasaki Kisen Kaisha, Ltd. in the United States. “K” Line refers to the referenced DOJ guilty plea for its true and complete contents. Any remaining allegations in Paragraph 19 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 19 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 19 are deemed to require a further response and are directed to “K” Line, they are denied.

20. For any allegations in Paragraph 20 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. “K” Line admits that Kawasaki Kisen Kaisha, Ltd. was the subject of a DOJ investigation and entered a guilty plea with the DOJ in September 2014 that involved the payment of a fine of \$67.7 million by Kawasaki Kisen Kaisha, Ltd. in the United States. “K” Line refers to the referenced DOJ guilty plea for its true and complete contents. “K” Line admits that some competition authorities have investigated some Respondents. The allegation of a conspiracy in Paragraph 20 is a characterization that calls for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 20 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 20 are deemed to require a further response and are directed to “K” Line, they are denied.

21. For any allegations in Paragraph 21 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. “K” Line admits that Kawasaki Kisen Kaisha, Ltd. and/or certain entities affiliated with Kawasaki Kisen Kaisha, Ltd. have been fined by foreign competition authorities. To the extent that any remaining allegations in Paragraph 21 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 21 are deemed to require a further response and are directed to “K” Line, they are denied.

22. The allegations in Paragraph 22 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 22 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 22 are deemed to require a further response and are directed to “K” Line, they are denied.

23. For any allegations in Paragraph 23 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 23 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 23 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 23 are deemed to require a further response and are directed to “K” Line, they are denied.

24. For any allegations in Paragraph 24 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 24 are

conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 24 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 24 are deemed to require a further response and are directed to “K” Line, they are denied.

25. For any allegations in Paragraph 25 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 25 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 25 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 25 are deemed to require a further response and are directed to “K” Line, they are denied.

26. For any allegations in Paragraph 26 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 26 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 26 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 26 are deemed to require a further response and are directed to “K” Line, they are denied.

27. For any allegations in Paragraph 27 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 27 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 27 are deemed to require a further response and are

directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 27 are deemed to require a further response and are directed to “K” Line, they are denied.

28. For any allegations in Paragraph 28 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 28 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 28 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 28 are deemed to require a further response and are directed to “K” Line, they are denied.

29. For any allegations in Paragraph 29 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 29 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 29 are deemed to require a further response and are directed to “K” Line, they are denied.

30. For any allegations in Paragraph 30 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 30 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 30 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as

to the truth of those allegations. To the extent that any remaining allegations in Paragraph 30 are deemed to require a further response and are directed to “K” Line, they are denied.

31. For any allegations in Paragraph 31 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 31 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 31 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 31 are deemed to require a further response and are directed to “K” Line, they are denied.

32. For any allegations in Paragraph 32 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. “K” Line admits that Kawasaki Kisen Kaisha, Ltd. was the subject of a DOJ investigation and entered a guilty plea with the DOJ in September 2014 that involved the payment of a fine by Kawasaki Kisen Kaisha, Ltd. in the United States. “K” Line refers to the referenced DOJ guilty plea for its true and complete contents. “K” Line admits that some competition authorities have investigated some Respondents. Any remaining allegations in Paragraph 32 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 32 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 32 are deemed to require a further response and are directed to “K” Line, they are denied.

33. For any allegations in Paragraph 33 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. To the extent that any remaining allegations in

Paragraph 33 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 33 are deemed to require a further response and are directed to “K” Line, they are denied.

34. For any allegations in Paragraph 34 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. “K” Line admits that Kawasaki Kisen Kaisha, Ltd. was the subject of a DOJ investigation and entered a guilty plea with the DOJ in September 2014 that involved the payment of a fine of \$67.7 million by Kawasaki Kisen Kaisha, Ltd. in the United States. “K” Line refers to the referenced DOJ guilty plea for its true and complete contents. To the extent that any remaining allegations in Paragraph 34 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 34 are deemed to require a further response and are directed to “K” Line, they are denied.

35. For any allegations in Paragraph 35 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. To the extent that any remaining allegations in Paragraph 35 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 35 are deemed to require a further response and are directed to “K” Line, they are denied.

36. For any allegations in Paragraph 36 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. To the extent that any remaining allegations in Paragraph 36 are deemed to require a further response and are directed to other entities, “K” Line

lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 36 are deemed to require a further response and are directed to “K” Line, they are denied.

37. For any allegations in Paragraph 37 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. To the extent that any remaining allegations in Paragraph 37 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 37 are deemed to require a further response and are directed to “K” Line, they are denied.

38. For any allegations in Paragraph 38 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. To the extent that any remaining allegations in Paragraph 38 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 38 are deemed to require a further response and are directed to “K” Line, they are denied.

39. For any allegations in Paragraph 39 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 39 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 39 are deemed to require a further response and are directed to “K” Line, they are denied.

40. For any allegations in Paragraph 40 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 40 are deemed to require a further response and are directed to other entities, "K" Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 40 are deemed to require a further response and are directed to "K" Line, they are denied.

41. For any allegations in Paragraph 41 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 41 are deemed to require a further response and are directed to other entities, "K" Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 41 are deemed to require a further response and are directed to "K" Line, they are denied.

42. For any allegations in Paragraph 42 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 42 that are deemed to require a further response and are directed to other entities, "K" Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 42 are deemed to require a further response and are directed to "K" Line, they are denied.

43. For any allegations in Paragraph 43 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 43 are

conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 43 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 43 are deemed to require a further response and are directed to “K” Line, they are denied.

44. For any allegations in Paragraph 44 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 44 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 44 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 44 are deemed to require a further response and are directed to “K” Line, they are denied.

45. For any allegations in Paragraph 45 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 45 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 45 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 45 are deemed to require a further response and are directed to “K” Line, they are denied.

46. For any allegations in Paragraph 46 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 46 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 46 are deemed to require a further response and are

directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 46 are deemed to require a further response and are directed to “K” Line, they are denied.

47. For any allegations in Paragraph 47 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 47 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 47 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 47 are deemed to require a further response and are directed to “K” Line, they are denied.

48. “K” Line incorporates by reference the Introduction, General Denial, and its responses set forth above to Paragraphs 1-47.

49. For any allegations in Paragraph 49 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 49 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 49 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 49 are deemed to require a further response and are directed to “K” Line, they are denied.

50. For any allegations in Paragraph 50 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 50 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 50 are deemed to require a further response and are directed to other

entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 50 are deemed to require a further response and are directed to “K” Line, they are denied.

51. For any allegations in Paragraph 51 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 51 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 51 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 51 are deemed to require a further response and are directed to “K” Line, they are denied.

52. For any allegations in Paragraph 52 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 52 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 52 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 52 are deemed to require a further response and are directed to “K” Line, they are denied.

53. “K” Line incorporates by reference the Introduction, General Denial, and its responses set forth above to Paragraphs 1-52.

54. For any allegations in Paragraph 54 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 54 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 54 are deemed to require a further response and are directed to other

entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 54 are deemed to require a further response and are directed to “K” Line, they are denied.

55. “K” Line incorporates by reference the Introduction, General Denial, and its responses set forth above to Paragraphs 1-54.

56. For any allegations in Paragraph 56 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 56 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 56 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 56 are deemed to require a further response and are directed to “K” Line, they are denied.

57. “K” Line incorporates by reference the Introduction, General Denial, and its responses set forth above to Paragraphs 1-56.

58. For any allegations in Paragraph 58 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 58 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 58 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 58 are deemed to require a further response and are directed to “K” Line, they are denied.

59. For any allegations in Paragraph 59 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 59 are

conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 59 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 59 are deemed to require a further response and are directed to “K” Line, they are denied.

60. “K” Line incorporates by reference the Introduction, General Denial, and its responses set forth above to Paragraphs 1-59.

61. For any allegations in Paragraph 61 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 61 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 61 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 61 are deemed to require a further response and are directed to “K” Line, they are denied.

62. “K” Line incorporates by reference the Introduction, General Denial, and its responses set forth above to Paragraphs 1-61.

63. For any allegations in Paragraph 63 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 63 are conclusions of law, to which no response is required.

64. For any allegations in Paragraph 64 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 64 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 64 are deemed to require a further response and are directed to other

entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 64 are deemed to require a further response and are directed to “K” Line, they are denied.

65. “K” Line incorporates by reference the Introduction, General Denial, and its responses set forth above to Paragraphs 1-64.

66. For any allegations in Paragraph 66 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 66 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 66 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 66 are deemed to require a further response and are directed to “K” Line, they are denied.

67. For any allegations in Paragraph 67 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 67 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 67 are deemed to require a further response and are directed to other entities, “K” Line lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 67 are deemed to require a further response and are directed to “K” Line, they are denied.

AFFIRMATIVE OR ALTERNATIVE DEFENSES

In addition to the reasons stated above, Complainants are not entitled to relief, and “K” Line is entitled to judgment in its favor and against Complainants on the basis of the following Affirmative or Alternative Defenses, pleaded in the alternative to the extent that they may be found to be inconsistent. In asserting these defenses, “K” Line does not assume the burden of proof on any issue that would otherwise rest on Complainants.

1. The FCA Complaint fails to state any cognizable claims under the Shipping Act of 1984 (“Shipping Act”) upon which relief can be granted.
2. Complainants’ claims, including any claims based on a purported “continuing violation” theory, are barred by the Shipping Act’s three-year statute of limitations.
3. To the extent any of Complainants’ claims survive the May 7, 2018 decision, Complainants have failed to plead any facts sufficient to support tolling or extension of the statute of limitations, including the novel concept of a purported “continuing violation,” and thus all of Complainants’ claims are time-barred.
4. Complainants’ claims are barred, in whole or in part, by the doctrines of waiver, estoppel, and/or laches.
5. Complainants’ claims are barred, in whole or in part, by the doctrine of mootness.
6. Complainants’ claims are barred, in whole or in part, because Complainants lack standing.
7. Complainants’ claims are barred, in whole or in part, to the extent that Complainants seek relief with respect to activities or entities over which the Commission lacks jurisdiction.
8. Complainants are barred, in whole or in part, from recovery of any damages or reparations because of and to the extent of their failure to mitigate damages or reparations.

9. Complainants' alleged injury, if any, is in whole or in part the result of their own actions and contributory fault.
10. Complainants have failed to allege fraudulent concealment with particularity.
11. Complainants' claims are barred, in whole or in part, because Complainants have failed to allege conspiracy with sufficient particularity.
12. Complainants' claims are barred, in whole or in part, because Complainants have suffered no injury, damages, or reparations as a result of the matters alleged in the Complaint.
13. Complainants' claims are barred, in whole or in part, because the conduct, acts, or omissions alleged by Complainants, including, without limitation, any alleged failure to file any alleged agreements among Respondents, were not the proximate cause of any alleged injuries to Complainants.
14. Complainants' claims are barred, in whole or in part, because the alleged damages or reparations, if any, are speculative and because of the impossibility of ascertaining and allocating those alleged damages or reparations.
15. Any injuries, damages, or reparations Complainants may have suffered were caused solely or proximately by the acts or omissions of others.
16. Complainants' claims are barred, in whole or in part, because any price change was absorbed in whole or in part by others because Complainants passed on any price change to entities to which they later sold their vehicles.
17. Complainants are barred from recovery of any damages or reparations because Complainants would be unjustly enriched if they were allowed to recover any part of the damages or reparations alleged in the Complaint.

18. Complainants' claims are barred because to the extent that any challenged conduct occurred, that conduct would have been committed by individuals acting ultra vires.
19. Complainants' claims are barred, in whole or in part, by Complainants' failure to exercise due diligence to uncover any allegedly unlawful conduct.
20. Without admitting that Complainants are entitled to recover reparations in this matter, "K" Line is entitled to set off from any recovery Complainants may obtain against "K" Line any amount paid to Complainants by any other entities who have settled, or do settle, Complainants' claims in this matter or any related matters.
21. Complainants' claims are barred, in whole or in part, to the extent they would result in "K" Line paying damages or reparations to more than one claimant for the same alleged price changes.
22. Complainants' claims are barred, in whole or in part, to the extent they are based on alleged acts, conduct, or statements that are specifically permitted by law.
23. Complainants' claims are barred, in whole or in part, by reason of Complainants' ratification, acquiescence, agreement, or consent to "K" Line's conduct.
24. Complainants' claims are barred, in whole or in part, because any alleged injury, damages, or reparations have been offset by benefits Complainants received with respect to the conduct they challenge.
25. Complainants' claims are barred, in whole or in part, because an award of double damages or reparations against "K" Line based on the alleged conduct would constitute excessive damages or reparations.
26. Complainants' claims are barred, in whole or in part, because to the extent any challenged conduct occurred, "K" Line had legitimate business and economic

justifications for the conduct, its conduct was pro-competitive, its practices were and are reasonably justified, and/or its conduct was permitted by the Shipping Act.

27. Any affirmative defenses pleaded by the other Respondents and not pleaded by “K” Line are incorporated herein to the extent they do not conflict with “K” Line’s affirmative or alternative defenses.

RESERVATION OF CLAIMS, DEFENSES, AND RIGHTS

“K” Line reserves the right to assert any additional claims and further defenses as may be revealed by discovery or otherwise, up to and including the time of briefing and any hearings before the Presiding Officer on proposed findings of facts or any other issues, if applicable. “K” Line currently has insufficient knowledge or information upon which to form a belief as to any other potential affirmative defenses that may be available to it, and expressly reserves the right to amend or supplement this Answer and these affirmative defenses, as well as to assert any and all additional or alternative defenses under any applicable law or regulations, in the event that discovery indicates that such defenses are available or otherwise. Assertion by “K” Line of any affirmative defense(s) or any other defense(s) shall not be deemed a concession that “K” Line bears the burden of proof with respect to any of them. “K” Line reserves its right to assert counterclaims as may be appropriate.

CONCLUSION

WHEREFORE, “K” Line prays that:

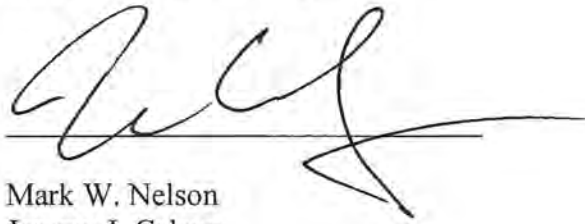
- A. Complainants take nothing by way of their Complaint, and the action be dismissed with prejudice;
- B. Judgment be entered in favor of “K” Line and against Complainants with respect to all causes of action in the Complaint;
- C. The Presiding Officer award “K” Line its attorneys’ fees and all other costs reasonably incurred in defense of this action; and

D. The Presiding Officer award “K” Line such other relief as it may deem just and proper.

Dated: October 9, 2018

Respectfully submitted,

By:

A handwritten signature in black ink, appearing to be 'Mark W. Nelson', written over a horizontal line.

Mark W. Nelson

Jeremy J. Calsyn

James K. Hunsberger

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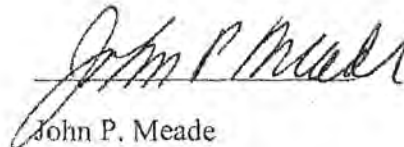
jhunsberger@cgsh.com

*Counsel for Respondents Kawasaki Kisen Kaisha,
Ltd. and "K" Line America, Inc.*

VERIFICATION PURSUANT TO 46 C.F.R. § 502.62(b)(2)

John P. Meade, Esq. upon his oath, hereby verifies as follows:

1. I, John P. Meade, declare and state that I am the General Counsel for "K" Line America, Inc., and I am authorized to and do make this verification on behalf of "K" Line America, Inc. and Kawasaki Kisen Kaisha, Ltd.
2. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
3. I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.



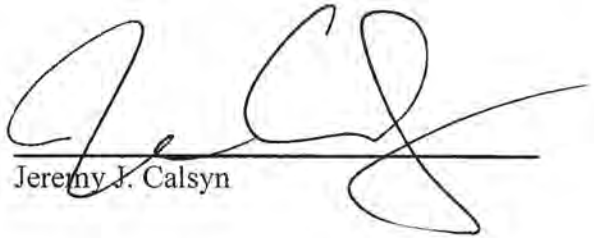
John P. Meade

Dated: October 9, 2018

CERTIFICATE OF SERVICE

I hereby certify that, on the below date, a true and correct copy of the foregoing answer and affirmative defenses was filed electronically with the Secretary of the Federal Maritime Commission, and true and correct copies were sent electronically to all counsel for the parties identified in Docket No. 17-09.

DATED: October 9, 2018



Jeremy J. Calsyn